

Amendment No. 1 to HB1887

Terry
Signature of Sponsor

AMEND Senate Bill No. 1936*

House Bill No. 1887

by deleting all language after the enacting clause and substituting:

SECTION 1. Tennessee Code Annotated, Title 52, Chapter 2, is amended by adding the following as a new part:

52-2-1201. Part definitions.

As used in this part:

(1) "Basic services" includes:

(A) The development, implementation, and monitoring of a comprehensive protocol of care that:

(i) Is provided to a medically dependent or technologically dependent minor;

(ii) Is developed in conjunction with the minor's parent or legal guardian; and

(iii) Specifies the medical, nursing, psychosocial, therapeutic, and developmental services required by the minor served; and

(B) The caregiver training needs of the minor's parent or legal guardian;

(2) "Center" means a prescribed pediatric extended care center;

(3) "Controlling person":

(A) Means a person who, by ownership, contract, or otherwise, has the authority, acting alone or in concert with another, to directly or

indirectly influence, direct, or cause the direction of the management of, expenditure of money for, or policies of a center or another person; and

(B) Does not include, if a center is a publicly traded corporation, a shareholder or lender of such publicly traded corporation;

(4) "Medically dependent or technologically dependent minor":

(A) Means a minor who because of an acute, chronic, or intermittent medically complex or fragile condition or disability requires ongoing, technology-based skilled nursing care prescribed by the minor's physician to avert death or further disability or the routine use of a medical device to compensate for a deficit in a life-sustaining body function; and

(B) Does not include a nonacute or occasional medical condition that does not require continuous nursing care, including asthma, diabetes, or a condition that requires an epinephrine injection;

(5) "Minor" means a person who is twenty (20) years of age or younger;

and

(6) "Prescribed pediatric extended care center" means a facility operated for-profit or on a not-for-profit basis that provides nonresidential basic services to four (4) or more medically dependent or technologically dependent minors who require the services of the facility and who are not related to the owner or operator by blood, marriage, or adoption.

52-2-1202. Prescribed pediatric extended care center pilot program.

(a) There is created a three-year pilot project in a county having a population of not less than three hundred forty-one thousand four hundred (341,400) nor more than three hundred forty-one thousand five hundred (341,500), according to the 2020 federal census or any subsequent federal census, to establish one (1) prescribed pediatric extended care center.

(b) The center must not be in the same location as:

- (1) A child care agency, as defined in § 71-3-501; or
- (2) Any other facility licensed pursuant to this title or title 71.

52-2-1203. Application to establish a center.

(a) An applicant seeking to establish the center described in § 52-2-1202 for the pilot program shall submit to the department:

- (1) A sworn application on a form provided by the department; and
- (2) A letter of credit to demonstrate the applicant's financial viability.

(b) The application must contain:

- (1) The location of the proposed center;
 - (2) Documentation, signed by the appropriate local government official, stating the location and use of such location meets local zoning requirements;
 - (3) The name, address, and social security number of, and background and criminal history check information, as described in § 52-2-1208, for:
 - (A) The applicant;
 - (B) The administrator responsible for daily operations of the proposed center;
 - (C) The financial officer responsible for financial operations of the proposed center; and
 - (D) Each controlling person;
 - (4) The name, address, and federal employer identification number or taxpayer identification number of the applicant and of each controlling person, if the applicant or controlling person is not an individual;
 - (5) The business name of the proposed center;
 - (6) The maximum patient capacity requested for the proposed center;
- and

(7) A sworn affidavit that the applicant has complied, and will continue to comply, with this part and rules adopted pursuant to this part.

(c)

(1) The department shall choose an applicant for purposes of the pilot program center.

(2) Prior to choosing an applicant, the department shall inspect the proposed center to ensure that the center meets the requirements of this part.

(d)

(1) The department may require that the chosen applicant obtain a license for the center, if the department determines in its sole discretion that the license is necessary, or a license is required by another law. If the department determines that the license is necessary, then the department may require the chosen applicant to submit a license fee.

(2) If the department requires that a license be maintained for the center, then the license must include:

(A) The license holder's name;

(B) The location of the center; and

(C) A statement indicating the center provides services to minors for a maximum of twelve (12) hours in a twenty-four-hour period and does not provide twenty-four-hour care.

52-2-1204. Maintenance of records.

The center shall maintain at the center the medical and other records required by this part and by rules adopted pursuant to this part for the pilot program.

52-2-1205. Background checks required.

Any employee, subcontractor, or volunteer at the center shall have a criminal background check completed, as described in § 52-2-1002.

52-2-1206. Denial, suspension, and revocation of licensure – Administrative fines

– Grounds.

(a)

(1) If the department requires the center to obtain and maintain a license, then the department may revoke or suspend the license and impose an administrative fine for the violation of this part or any applicable rules adopted by the department.

(2) In addition to the authority granted under subdivision (a)(1), the department may suspend or cease operation of the center for a violation of this part or any applicable rules adopted by the department.

(b) Any of the following actions by the center or its employees are grounds for action by the department:

(1) An intentional or negligent act materially affecting the health or safety of a minor in a center;

(2) Fraudulent acts, including acts relating to medicaid fraud;

(3) A violation of this part or any applicable rules adopted by the department; or

(4) A license revocation, suspension, or other disciplinary action taken against a person listed in the application in another state.

52-2-1207. Inspections – Corrective action plan.

(a) The department may inspect the center, including its records, at any reasonable time as necessary to ensure compliance with this part. The center shall provide the department with access to all center records.

(b) The department may require a center that undergoes an inspection to:

(1) Take appropriate corrective action necessary to comply with the requirements of this part and any rules adopted pursuant to this part; and

(2) Submit a corrective action plan to the department for approval.

(c) The center shall make available to any person on request a copy of each inspection report pertaining to the center that has been issued by the department. Before making an inspection report available pursuant to this subsection (c), the center shall redact from the report any information that is confidential under state or federal law.

52-2-1208. Administrative fines – Disposition of fines and fees.

(a) If the department determines that the center is not in compliance with this part or any applicable rules adopted by the department, then the department may request that the center submit a corrective action plan that demonstrates a good faith effort to remedy each violation by a specific date, subject to the department's approval.

(b) The department may fine the center or employee found in violation of this part or any applicable rule adopted by the department in an amount not to exceed five hundred dollars (\$500) for each violation.

(c) The failure to correct a violation by the date set by the department, or the failure to comply with an approved corrective action plan, as described in subsection (a), is a separate violation for each day such failure continues, unless the department approves an extension to a specific date.

(d) When determining if a fine is to be imposed and in fixing the amount of a fine, the department shall consider the following factors:

- (1) The seriousness of the violation, including the nature, circumstances, extent, and gravity of the violation;
- (2) The threat to health or safety caused by the violation;
- (3) Any previous violations;
- (4) The amount necessary to deter a future violation;
- (5) The efforts made by the violator to correct the violation; and
- (6) Any other matter the department deems necessary.

52-2-1209. Injunction.

(a) The department may seek a temporary restraining order from the chancery or circuit court of the county in which the center is located seeking immediate closure of the center to prevent further harm or threat of harm to the minors at the center or immediate restraint against any violations of the licensing laws or rules that are harming or that threaten harm to the minors at the center.

(b) If the department requires that the center obtain and maintain a license pursuant to § 52-2-1203, then the department may seek any further injunctive relief as permitted by law in order to protect the minors from the violations or threatened violations of the licensing laws or rules. The use of injunctive relief as provided in this section may be used as an alternative or supplementary measure to the issuance of an order of summary suspension or any other administrative proceedings.

52-2-1210. Closing of the center.

(a) As used in this section:

(1) "Enrolled minor" means a minor who:

(A) Is currently enrolled at the center and for whom tuition or attendance fees are being paid;

(B) Has attended the center within the last ninety (90) calendar days; or

(C) Is currently on a wait list for enrollment at the center; and

(2) "Permanent closure" means the center ceases to do business as a center and discontinues all care indefinitely.

(b) As early as practicable prior to permanent closure, including closure resulting from discontinuance of the pilot program, the center shall provide notice of the permanent closure to each parent or legal guardian of each enrolled minor.

(c) Notice required by subsection (b) may be provided by a written or electronic communication, a posting of such notice at the center, or a public posting of such notice

that the center deems an appropriate means for communication with each parent or legal guardian.

(d) This section does not prohibit the department from exercising any duty or power given to the department in this title or by rule regarding the operational status or licensure of the center.

52-2-1211. Admission to a center – Services provided.

(a) A minor may be admitted to the center if the minor meets the following criteria:

(1) The minor is a medically dependent or technologically dependent minor;

(2) The minor's prescribing physician issues a prescription ordering care at the center;

(3) The minor's parent or legal guardian consents to the minor's admission to the center;

(4) The admission is voluntary based on the parent's or legal guardian's preferences in both managed care and non-managed care service delivery systems; and

(5) The minor's parent or legal guardian signs a consent document illustrating the involvement of the parent or legal guardian in developing and establishing the care and treatment to be provided to the minor in the center.

(b) An admission authorized under this section is not intended to supplant the right to a medicaid private duty nursing benefit, when medically necessary.

(c) A minor's parent or legal guardian is not required to accompany the minor when the minor receives services in the center, including therapy services delivered in the center but billed separately.

(d) The center shall not provide:

(1) Services to a minor for more than twelve (12) hours within a twenty-four-hour period; and

(2) Services other than those provided to medically dependent or technologically dependent minors.

(e) The maximum patient capacity at the center must not exceed sixty (60).

52-2-1212. Transportation services.

(a) The department shall establish minimum standards for transportation services for a minor, including:

(1) Permitting the center to determine:

(A) In coordination with a minor's parent or legal guardian, the schedule of transportation services; and

(B) In coordination with the minor's prescribing physician, the necessary type of healthcare provider who must be present during transportation; and

(2) Permitting a minor's parent or legal guardian to decline the center's transportation services entirely or on a specific date.

(b) The department shall not:

(1) Require a care plan or physician's order to document a minor's need for transportation services to access the center's services; and

(2) Consider transportation services as nursing services included in the minor's care plan.

52-2-1213. Interference with rights to determine treatment.

(a) Except as provided by subsection (b), the department shall not interfere with the authority of a parent or a legal guardian of a minor at the center to make decisions regarding the treatment provided to such minor.

(b) The department may limit the maximum number of authorized services provided to a minor who receives services at the center.

52-2-1214. Rules establishing standards.

The department shall promulgate rules to establish minimum standards for operating the center for purposes of the pilot program, including:

- (1) Standards relating to the issuance, suspension, and revocation of a license to operate the center, if the department requires that a license be obtained and maintained;
- (2) Standards relating to the provision of family-centered basic services that include individualized medical, developmental, and family training services;
- (3) Building construction and renovation standards based on the size of the building and the number of minors served, including standards for plumbing, electrical, glass, manufactured buildings, accessibility for a person with a physical disability, and fire protection;
- (4) Building maintenance conditions, based on the size of the building and the number of minors served, relating to plumbing, heating, lighting, ventilation, adequate space, fire protection, and other conditions;
- (5) Standards relating to the minimum number of and qualifications required for personnel who provide personal care or basic services to the minors served;
- (6) Standards relating to the sanitary conditions within the center and its surroundings, including water supply, sewage disposal, food handling, and general hygiene;
- (7) Standards relating to the programs offered by the center to promote and maintain the health and development of the minors served and to meet the training needs of the minors' parents or legal guardians;
- (8) Standards relating to physician-prescribed supportive services;

(9) Standards relating to the maintenance of patient medical records and program records in accordance with state and federal law and with accepted professional standards and practices; and

(10) Standards relating to transportation services, as described in § 52-2-1212.

52-2-1215. Rules.

The department is authorized to promulgate rules to effectuate this part. The rules must be promulgated in accordance with the Uniform Administrative Procedures Act, compiled in title 4, chapter 5.

52-2-1215. Part repealed.

This part is repealed on January 1, 2030.

SECTION 2. Tennessee Code Annotated, Title 71, Chapter 5, Part 1, is amended by adding the following as a new section:

(a) As used in this section:

(1) "Bureau" means the bureau of TennCare; and

(2) "Enrollee" means an individual enrolled in TennCare.

(b) The bureau shall provide coverage and benefits for an enrollee for services rendered at a prescribed pediatric extended care center, as described in title 52, chapter 2, part 12, subject to approval by the federal centers for medicare and medicaid services.

(c) The director shall submit to the federal centers for medicare and medicaid services a request for any federal waiver the director deems necessary to effectuate this section no later than December 31, 2026.

(d) This section is repealed January 1, 2030.

SECTION 3. Tennessee Code Annotated, Section 52-2-403(a), is amended by deleting the first sentence and substituting the following:

The department may license services and facilities operated for the provision of disability services, for the provision of personal support services, for the provision of the Employment and Community First CHOICES program and services, as provided in title 71, chapter 5, or Tenn. Comp. R. & Regs. 1200-13, for comprehensive behavioral supports for employment and community living for adults with intellectual or developmental disabilities and severe behavioral or psychiatric conditions or any successor program, service, or a home and community-based services waiver approved by the centers for medicare and medicaid services pursuant to § 1915(c) of the Social Security Act, and for the provision of services by a prescribed pediatric extended care center in accordance with part 12 of this chapter.

SECTION 4. The headings in this act are for reference purposes only and do not constitute a part of the law enacted by this act. However, the Tennessee Code Commission is requested to include the headings in any compilation or publication containing this act.

SECTION 5. For the purposes of promulgating rules, this act takes effect upon becoming a law, the public welfare requiring it. Section 2 takes effect upon becoming law, the public welfare requiring it. For all other purposes, this act takes effect January 1, 2027, the public welfare requiring it.